

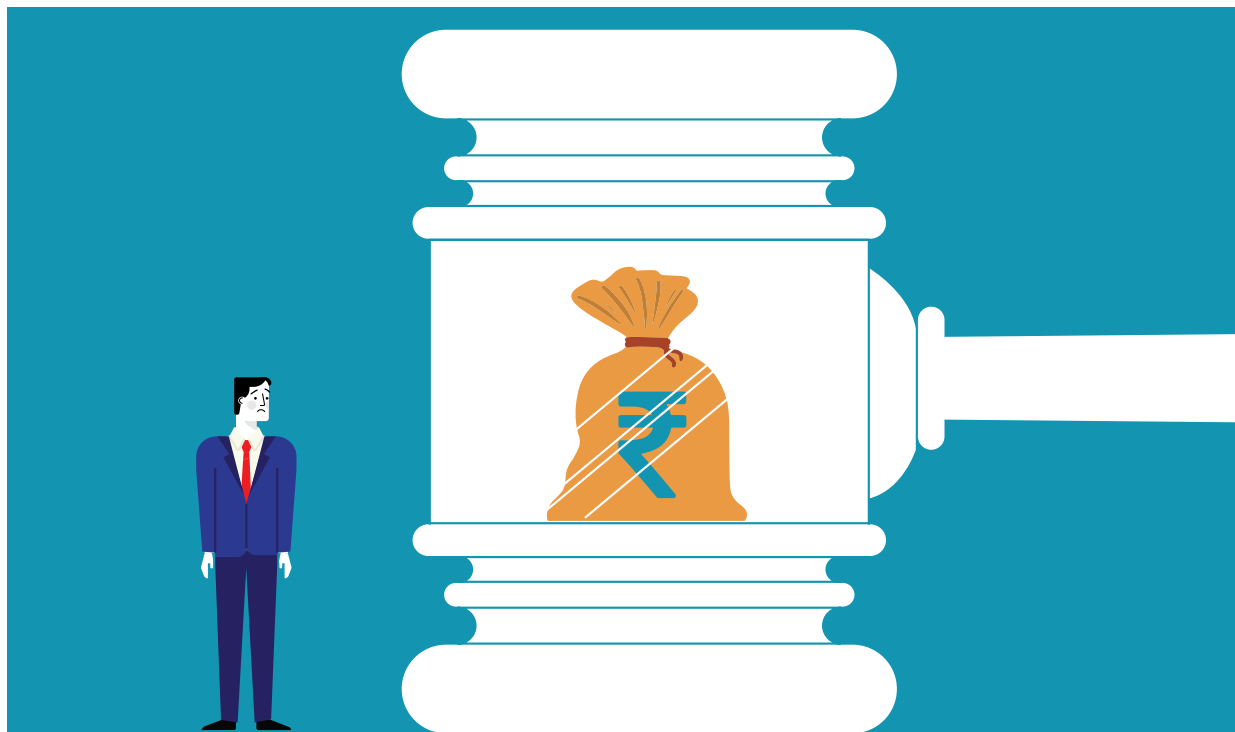


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FINTECH

REGULATORY SHOCK

P2P lending platforms are facing challenges in adapting to the new RBI regulations, resulting in a decline in their business volume of up to 90%

BY TEENA JAIN KAUSHAL

► **IT'S BEEN MORE** than a month since the Reserve Bank of India's (RBI) new regulations on peer-to-peer (P2P) lending took effect, but the industry is still struggling to adjust. Several platforms have experienced a sharp decline in their business, with some even seeing volumes drop by 90%.

"Since the new regulations came into force, our volumes have dropped by 90%. We've resumed accepting new investments, but a new product we've introduced is not drawing lenders," says Bhuvan Rustagi, Co-founder and COO of LendBox, a major P2P lending platform.

The P2P lending model allows individuals to provide loans to others through RBI-regulated

NEW NORMS, NEW SCENARIO

1 New RBI regulations disrupt the P2P lending industry

2 Increased operational costs due to the implementation of new rules strain business models

3 The T+1 rule further escalates the transaction costs

4 Lender-to-lender transactions now strictly prohibited

NBFC (non-banking financial company) platforms that connect lenders with borrowers. These platforms serve as intermediaries, facilitating transactions and overseeing repayments.

Due to falling volumes, some P2P platforms are even contemplating the possibility of ceasing their operations. "The cost of transactions has increased manifold. Earlier, we could process lump sum transactions at maturity, but now we need to complete multiple transactions, as funds must be disbursed for each borrower on a T+1 basis, leading to increased operational costs. As a result, this business model is no longer viable," says the founder of a leading P2P platform, requesting anonymity.